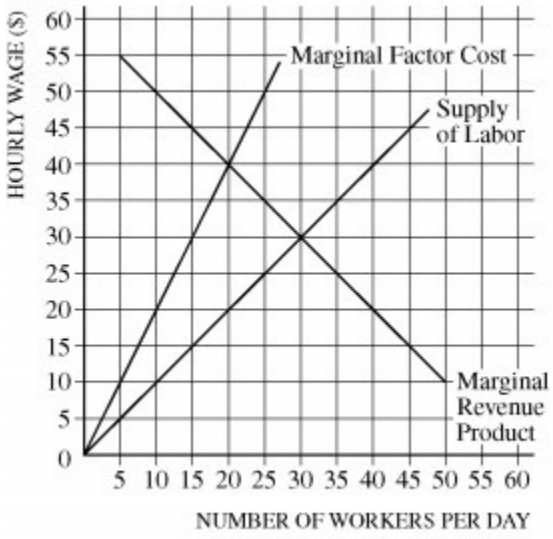
5.4 monopsony

BABBC
CECAB
ECCAA
DA

1.



The graph above shows a monopsony labor market. In the absence of any regulations, which of the following represents the number of workers the firm will hire and the wage rate it will offer to those workers?

5.4 monopsony

(A)

Number of Workers	Wage Rate
15	$30

(B) ✓

Number of Workers	Wage Rate
20	$20

(C)

Number of Workers	Wage Rate
20	$40

(D)

Number of Workers	Wage Rate
30	$30

(E)

Number of Workers	Wage Rate
40	$40

2. A monopsonistic labor market has a

(A) single employer of labor ✓

(B) horizontal labor supply curve

(C) labor force of identically skilled workers

(D) backward bending labor supply curve

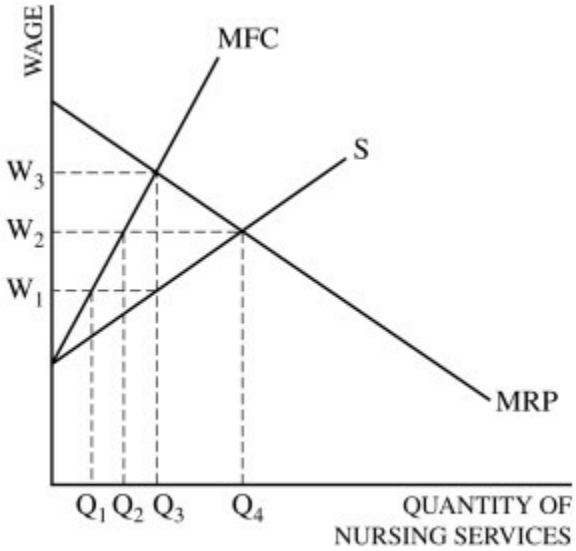
(E) demand curve for labor that is perfectly elastic

Answer A

Correct. With a monopsony in the labor market, one firm is the single employer of labor and has market power to restrict the hiring of employees.

5.4 monopsony

3.



Hope Hospital is a monopsonistic employer of nurses. The marginal revenue product of nursing services, the marginal factor (resource) cost of nursing services, and the market supply curve of nursing services are depicted in the figure above by MRP, MFC, and S, respectively. What wage quantity combination does Hope Hospital choose in order to maximize its profits?

(A) W_1 and Q_1

(B) W_1 and Q_3 ✓

(C) W_2 and Q_2

(D) W_2 and Q_4

(E) W_3 and Q_3

4. In a monopsonistic labor market, a firm will continue to hire workers until the marginal revenue product of labor

(A) equals marginal factor (resource) cost, resulting in more workers being hired at a lower wage compared with a perfectly competitive labor market

(B) equals marginal factor (resource) cost, resulting in fewer workers being hired at a lower wage compared with a perfectly competitive labor market ✓

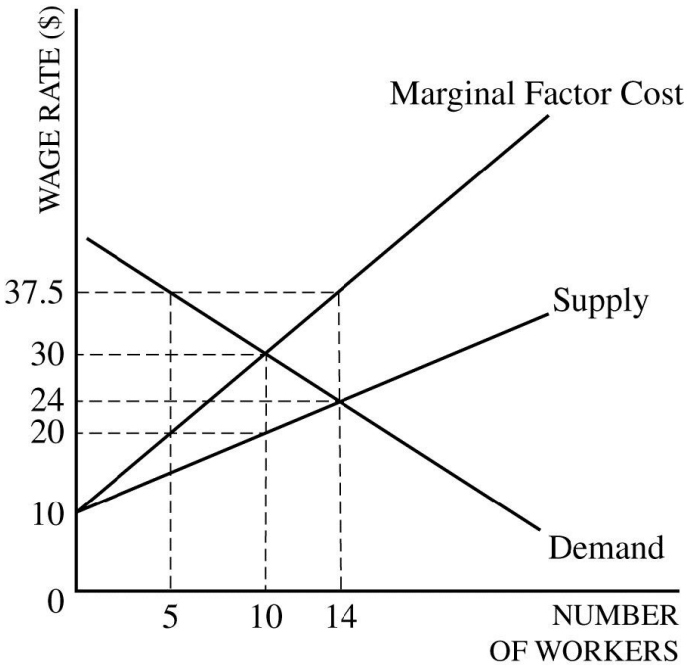
(C) equals marginal factor (resource) cost, resulting in fewer workers being hired at a higher wage compared with a perfectly competitive labor market

(D) is less than marginal factor (resource) cost, resulting in more workers being hired at a lower wage compared with a perfectly competitive labor market

(E) is less than marginal factor (resource) cost, resulting in fewer workers being hired at a lower wage compared with a perfectly competitive labor market

5.4 monopsony

5.



The graph above shows the conditions that a monopsonist faces in a labor market. How many workers would this monopsonist hire and what wage rate would it pay?

5.4 monopsony

(A)

Number of Workers	Wage Rate
5	$37.50

(B)

Number of Workers	Wage Rate
10	$30

(C) ✓

Number of Workers	Wage Rate
10	$20

(D)

Number of Workers	Wage Rate
14	$24

(E)

Number of Workers	Wage Rate
14	$37.50

6. Assuming a single, profit-maximizing employer in a labor market with many workers, which of the following statements relating to this monopsony is true?

(A) This single employer will hire more labor than if the market were perfectly competitive but will pay a lower wage.

(B) This single employer is a wage taker, needing to pay the equilibrium wage for the geographic area.

(C) In increasing employment, the marginal factor cost of an additional unit of labor exceeds the wage rate paid to the laborer. ✓

(D) The profit-maximizing monopsonist will hire the quantity of labor where the marginal revenue product of labor intersects the labor supply curve.

(E) The first workers hired are paid a higher wage than any additional workers hired by the monopsonist.

5.4 monopsony

Answer C

Correct. A single buyer of labor services, a monopsonist, restricts the quantity of labor hired to the equality of the marginal revenue product of labor and the marginal factor cost of labor. The wage paid to the labor employed is found on the labor supply curve and will be less than the competitive wage. Within monopsony, to hire more labor the firm must raise the wage on all labor; as a result, the marginal factor cost of labor exceeds the wage rate.

7. Which of the following is true of a monopsony in a labor market?

(A) It faces a labor supply curve that is horizontal at the competitive market equilibrium wage.

(B) Its marginal factor (resource) cost is the same as the market supply curve.

(C) At its optimal level of employment, it pays a wage rate higher than the competitive market wage rate.

(D) The imposition of a minimum wage results in a larger reduction in employment than is true in a competitive market.

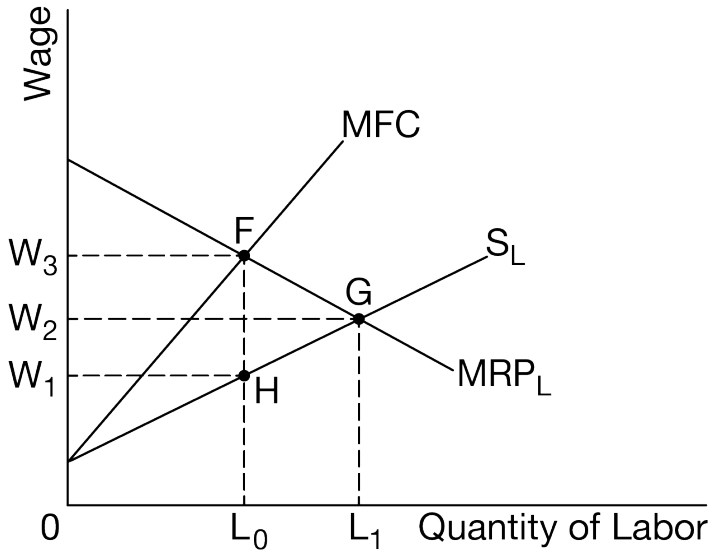
(E) Its marginal factor (resource) cost curve lies above the labor supply curve because hiring an extra worker means paying more to existing workers. ✓

Answer E

Correct. In a monopsonistic labor market when the firm hires additional workers, the marginal factor (resource) cost is greater than the supply price of labor. Therefore, the marginal factor cost curve is upward-sloping and lies above the labor supply curve.

5.4 monopsony

8.



Which of the following statements about the monopsonistic labor market shown in the accompanying graph is true?

(A) The single firm will hire L_1 and pay each laborer a wage of W_2.

(B) In this monopsonistic labor market when the single employer maximizes economic profits, there will be no deadweight loss.

(C) The profit-maximizing monopsonist will hire L_0 labor and pay each laborer W_1. ✓

(D) When the single firm is maximizing profits, the marginal revenue product (MRP) of labor will exceed the marginal factor cost (MFC) of labor.

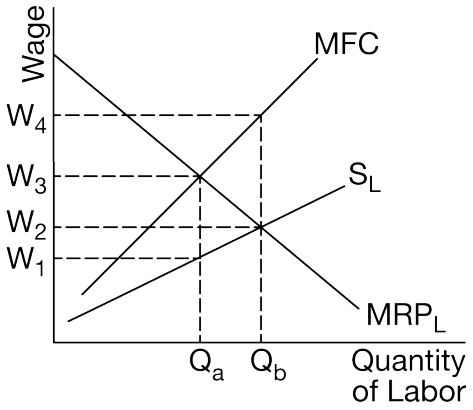
(E) The marginal factor cost (MFC) of labor with the competitive equilibrium exceeds the marginal factor cost of labor in monopsony.

Answer C

Correct. A single buyer of labor services, a monopsonist, restricts the quantity of labor hired to the equality of the marginal revenue product of labor and the marginal factor cost of labor. The wage paid to the labor employed is found on the labor supply curve and will be less than the competitive wage. Within monopsony, to hire more labor the firm must raise the wage on all labor; as a result, the marginal factor cost of labor exceeds the wage rate.

5.4 monopsony

9.



The graph represents a monopsonistic labor market and shows the marginal factor cost (MFC), the marginal revenue product $(\mathrm{MRP_L})$, and the supply of labor $(\mathrm{S_L})$. Assuming the firm sells its output in a perfectly competitive commodity market, the firm will

(A) employ Q_a workers and pay a wage of W_1 ✓

(B) employ Q_a workers and pay a wage of W_2

(C) employ Q_a workers and pay a wage of W_3

(D) employ Q_b workers and pay a wage of W_2

(E) employ Q_b workers and pay a wage of W_4

Answer A

Correct. The quantity of labor Q_a corresponds to where the marginal revenue product of labor $(\mathrm{MRP_L})$ equals the marginal factor cost (MFC), and the wage W_1 is determined by the supply curve. A firm will pay the lowest wage it can pay to attract the desired quantity of labor.

10. The monopsonist's marginal factor (resource) cost curve for labor is

(A) above the labor supply curve because the product price is found on the demand curve above where marginal cost equals marginal revenue

(B) above the labor supply curve because to hire more workers the firm must raise the wage for all workers ✓

(C) below the labor supply curve because the firm is a wage taker

(D) below the labor supply curve because of diminishing marginal returns to labor

(E) below the labor supply curve because to sell additional units of output the firm must lower its product price

11. Which of the following explains why the marginal factor (resource) cost curve lies above the supply curve for labor in a monopsonistic labor market?

5.4 monopsony

(A) The monopsonist must lower its price to sell more output.
(B) Each worker is paid a different wage, based on individual marginal productivity.
(C) The monopsonist has market power and pays whatever wage it desires.
(D) The supply of labor is perfectly elastic.
(E) The monopsonist must increase the wage for all workers to hire more workers. ✓

Answer E

Correct. A monopsonist is the only employer in the industry. When facing an upward-sloping supply curve of labor, to employ one more worker, the monopsonist must not only pay a higher wage rate to the next worker, but also pay a higher wage to all the workers it could have hired at a lower wage rate. This causes the marginal factor (resource) cost to be greater than the wage rate and the marginal factor cost curve to lie above the labor supply curve.

12. Which of the following is always true for a firm with monopsony power?

(A) The marginal revenue product curve is upward-sloping.
(B) The marginal revenue product curve lies above the input demand curve.
(C) The marginal factor cost curve lies above the input supply curve. ✓
(D) The marginal factor cost curve lies above the input demand curve.
(E) The input demand curve lies above the marginal factor cost curve.

Answer C

Correct. A monopsonist is the only employer in the industry. When facing an upward sloping supply curve of labor, to employ one more worker, the monopsonist must not only pay a higher wage rate to the next worker, but also pay a higher wage to all the workers it could have hired at a lower wage rate. This causes the marginal factor (resource) cost to be greater than the wage rate and the marginal factor cost curve to lie above the input (labor) supply curve.

5.4 monopsony

13.

Wage	Number of Workers
$6	0
$7	1
$8	2
$9	3
$10	4
$11	5
$12	6

The data in the table describe the supply schedule for labor in a monopsonistic labor market. The marginal factor cost of the fifth worker is

(A) $1
(B) $11
(C) $15 ✓
(D) $17
(E) $55

Answer C

Correct. Marginal factor cost is the change in total factor cost when adding an additional unit. The total factor cost of hiring five workers is $55, while hiring four workers costs $40. Thus, the marginal factor cost of adding a fifth worker is $15.

14. In comparison to a firm in a perfectly competitive labor market, a firm in a monopsonistic labor market typically will hire

(A) fewer workers and pay a lower wage ✓
(B) fewer workers and pay the same wage
(C) the same number of workers and pay a lower wage
(D) more workers and pay a lower wage
(E) more workers and pay the same wage

5.4 monopsony

Answer A

Correct. The monopsonistic (single buyer) firm will equate its marginal factor cost with the marginal revenue product and set the wage on the supply curve, which lies below the marginal factor cost curve. Thus the monopsonistic firm offers a wage less than the wage set in a perfectly competitive market and hires fewer workers.

15. Which of the following statements about a monopsonistic labor market is true?

(A) Compared to the wage paid in a competitive labor market, the wage paid by a monopsonist is lower and the quantity of labor hired is lower. ✓

(B) Since the single firm is a wage taker, the marginal factor cost of labor is equal to the wage rate.

(C) Since marginal revenue product equals marginal factor cost, this labor market is efficient with no deadweight loss.

(D) A legal minimum wage equal to the competitive wage would further reduce the employment of labor.

(E) As the firm hires more labor, the firm is able to pay each unit of labor a lower wage.

Answer A

Correct. A single buyer of labor services, a monopsonist, restricts the quantity of labor hired to where the marginal revenue product of labor equals the marginal factor cost of labor. The wage paid to the labor employed is found on the labor supply curve and will be less than the competitive wage. Within monopsony, to hire more labor the firm must raise the wage on all labor; as a result, the marginal factor cost of labor exceeds the wage rate.

16. Which of the following is true at the quantity of labor hired by a profit-maximizing monopsonist?

(A) Marginal revenue product is less than marginal factor cost.

(B) Marginal revenue product is greater than marginal factor cost.

(C) Marginal revenue product is less than the market wage.

(D) Marginal revenue product is greater than the market wage. ✓

(E) Marginal revenue product equals the market wage.

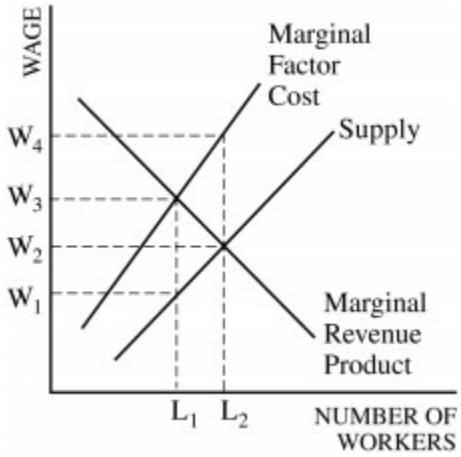
Answer D

Correct. A monopsonist is the only employer in the industry. When facing an upward-sloping supply

5.4 monopsony

curve of labor, to employ one more worker, the monopsonist will not only pay a higher wage rate to the next worker but also pay a higher wage to all its workers, including those whom it currently employs. Thus, at the profit-maximizing quantity of labor where marginal revenue product equals marginal factor cost, the marginal revenue product is greater than the market wage.

17.



In the monopsonistic labor market shown in the diagram above, which of the following indicates the number of workers the firm will hire and the wage rate it will pay?

(A) **Number of Workers:** L_1 **Wage Rate:** W_1 ✓

(B) **Number of Workers:** L_1 **Wage Rate:** W_2

(C) **Number of Workers:** L_1 **Wage Rate:** W_3

(D) **Number of Workers:** L_2 **Wage Rate:** W_2

(E) **Number of Workers:** L_2 **Wage Rate:** W_4